

AI/NLP Financial Risk Engine & Strategic Portfolio Stress Testing

Near Real-Time sentiment ingestion , Event Taxonomy Classification & Quantitative Multi-Asset Capital Shocks

CANDIDATE & PROJECT SPECIFICATION

CANDIDATE & AFFILIATION

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SUBMISSION TRACK

Module B: Stress Engine

PORTFOLIO SCOPE

\$585M Multi-Asset

EXECUTION TRIGGER

Rule A1 (Impact ≥ 7)

PIPELINE LATENCY

Near real-time (not benchmarked)



DISTRIBUTED MICROSERVICES

4-service Docker Compose setup

- Java 21 & Spring Boot 3.3.4 (WebClient)
- Python 3.11 FastAPI Engine (:8000)
- PostgreSQL 16 Alpine Relational Store
- React 19 + Vite 8 Interactive UI



FINBERT SENTIMENT ENGINE

Financial PhraseBank Model

- Polarity Range: [-1.0, +1.0] Score
- 7-Tier Financial Event Classification
- GDELT news with sample-data fallback; sample tweets
- 512-character input limit (CPU inference)



QUANTITATIVE STRESS ENGINE

Cross-Asset Valuation Shocks

- \$585M synthetic multi-asset portfolio
- Bonds: duration, spread and approximate convexity
- Equities (\$75M) Beta Market Shocks
- Loans (\$110M) & Derivatives (\$180M)



RULE A1: AUTO-STRESS TRIGGER

Event-driven risk pipeline

- Composite Impact Formula (1–10)
- IF Impact Score ≥ 7 : Auto-Stress Run
- Persisted audit trail in PostgreSQL

The Industry Problem vs. Engineered Solution

Connecting news and sentiment signals to portfolio stress results

● THE INDUSTRY CHALLENGE (STRUCTURAL RISK)

[X] Slow response to changing risk signals

Traditional risk tests occur quarterly or monthly. Real-world geopolitical crises and rate spikes unfold in hours, rendering legacy batch models obsolete.

[X] Unstructured information overload

Risk desk analysts drown in thousands of news articles, earnings calls, and market communiqués, unable to separate genuine solvency signals from noise.

[X] Disconnect from Portfolio Capital & Balance Sheets

NLP sentiment tools classify sentiment in pure isolation without translating headlines into quantitative portfolio drawdowns or capital buffer impairment.

[X] Black-Box LLM Hallucinations & Latency

Trading desks reject opaque generative AI summaries lacking reproducible financial mathematics and verifiable regulatory audit trails.

● OUR SOLUTION (WORKING PROTOTYPE)

[+] Near real-time event ingestion (design target)

GDELT news with sample-data fallback and synthetic sample tweets are scored with FinBERT and a keyword event taxonomy. Latency is not benchmarked

[+] Explainable Multi-Factor Impact Scorer (1–10)

Mathematically grounded fusion weighting 35% Sentiment Magnitude, 35% Event Severity, and 30% Source Credibility to weight different signal inputs.

[+] Automated Portfolio Stress Testing Engine (Rule A1)

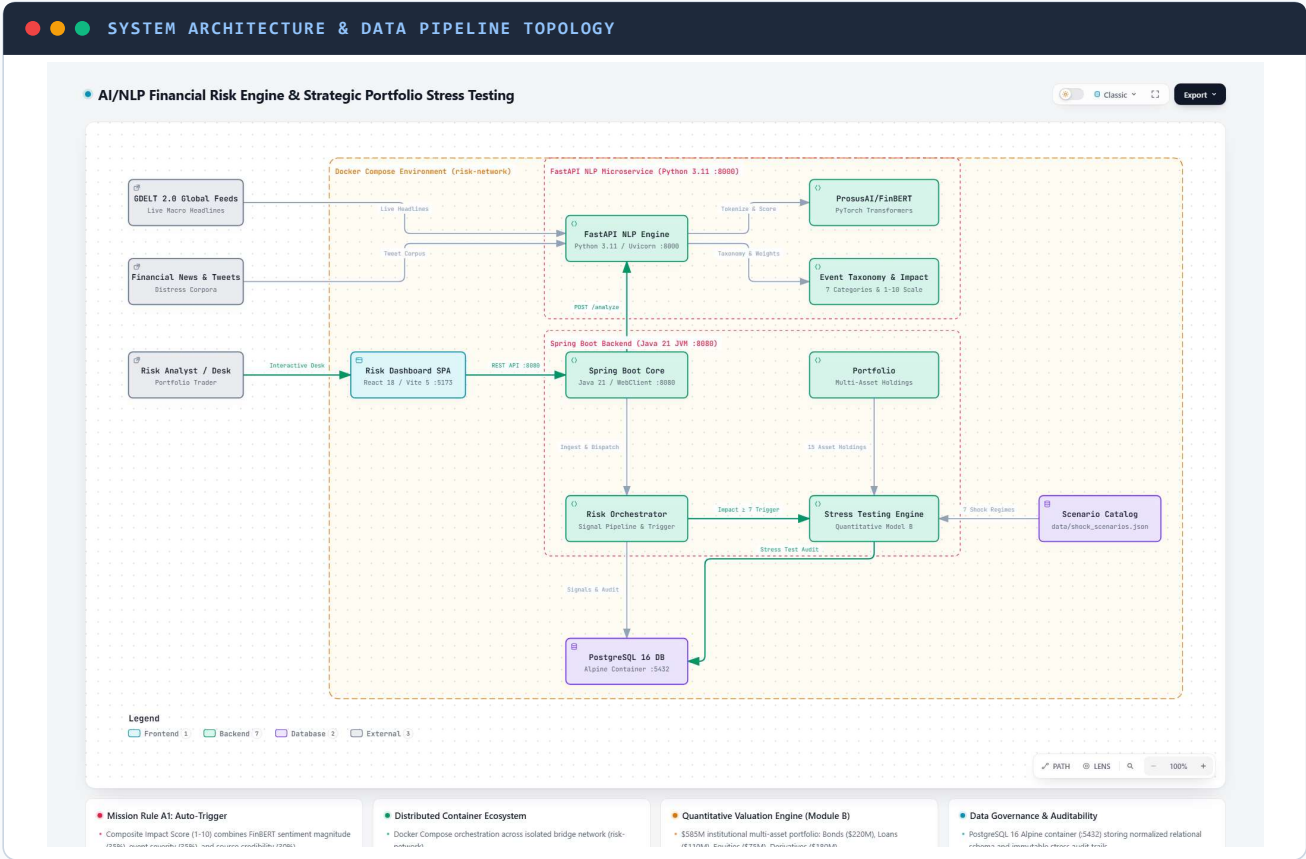
IF Impact Score ≥ 7 , the engine immediately shocks the \$585M synthetic portfolio across bonds, equities, commercial loans, and derivative overlays.

[+] Full Capital Traceability & Interactive Visuals

Interactive portfolio loss charts, asset-level P&L and a persisted audit trail in PostgreSQL. The scoring rules are inspectable. FinBERT is a neural sentiment model.

System Design & Data Flow

4-service Docker Compose design; native end-to-end execution verified



CONTAINER 1: NLP ENGINE

Python 3.11 / FastAPI (:8080)

- ProsusAI/FinBERT Sentiment [-1.0, +1.0]
- 7-Tier Financial Event Taxonomy
- 512-character input limit; CPU inference

CONTAINER 2: BACKEND CORE

Java 21 / Spring Boot 3.3.4 (:8080)

- Non-Blocking WebClient Reactive Bridge
- Rule A1 Dispatcher (Score >= 7 Trigger)
- Strategic Multi-Asset Stress Engine

CONTAINER 3: PERSISTENCE

PostgreSQL 16 Alpine (:5432)

- RiskSignal Relational Tables
- \$585M synthetic multi-asset holdings
- Persisted audit trail & P&L detail

CONTAINER 4: DASHBOARD SPA

React 19 + Vite 8 SPA (:5173)

- Recharts Waterfall Drawdowns & Deltas
- Interactive scenario stress testing

Implementation Highlights & Technical Rigor

Explainable Multi-Factor Scoring, FinBERT NLP & Quantitative Cross-Asset Loss Formulas

1. NLP & FINANCIAL SENTIMENT

HuggingFace ProsusAI/FinBERT

ProsusAI/FinBERT (Financial PhraseBank)

- Polarity: $P(\text{positive}) - P(\text{negative})$
- Bounded output: $[-1.0, +1.0]$ float
- 512-character input limit before tokenization

7-Tier Financial Event Taxonomy

Deterministic keyword matching with severity weights:

GEOPOLITICAL	Weight: 0.90
CREDIT_EVENT	Weight: 0.85
MACROECONOMIC	Weight: 0.80
REGULATORY	Weight: 0.60
MERGER_ACQUISITION	Weight: 0.50
EARNINGS	Weight: 0.40
PRODUCT_LAUNCH	Weight: 0.30

Explainability Advantage:

Eliminates black-box LLM hallucinations; desk auditors can trace exact keywords causing severity.

2. IMPACT SCORER & RULE A1

COMPOSITE IMPACT SCORE FORMULA (1–10)

```
Score = clamp(round(
    (weighted_sum) *
    (0.85 + 0.15 * confidence)
), 1, 10)
```

Source Credibility Weighting (A8)

GDELT / news	Weight: 1.0 (Full)
Sample tweets (synthetic, 8 rows)	Weight: 0.7 (Discounted)

RULE A1: AUTOMATED STRESS TRIGGER

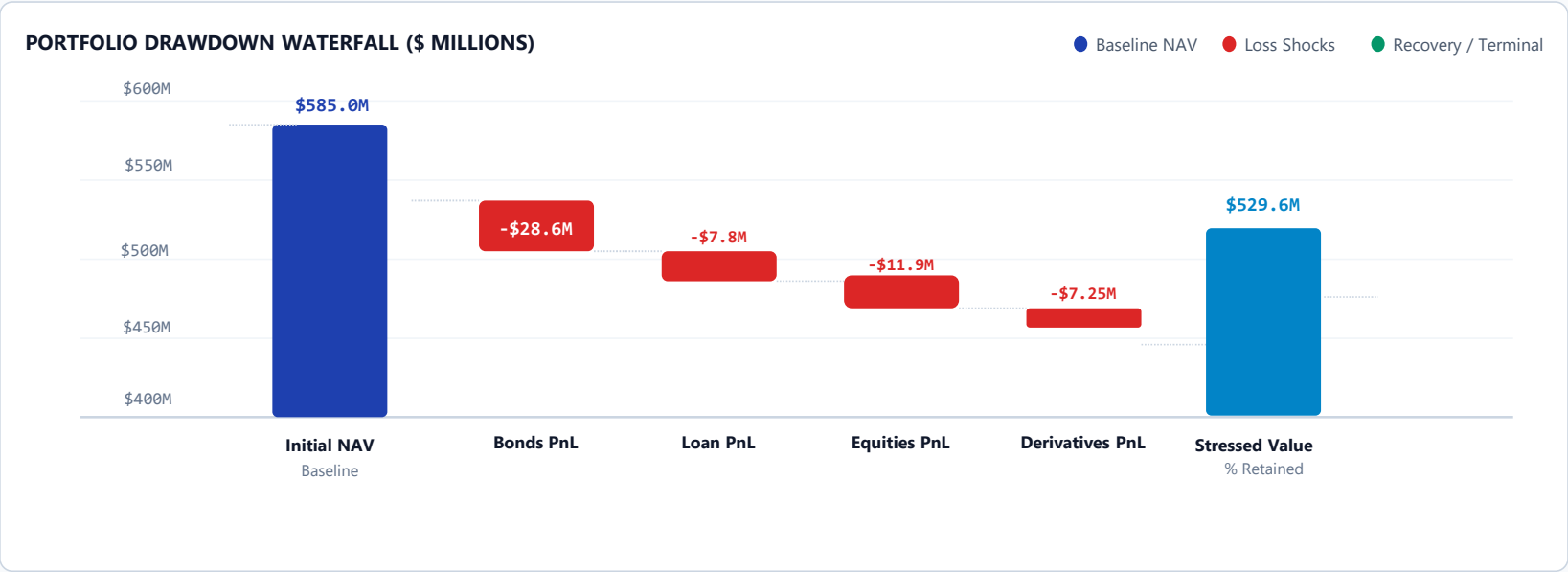
IF Impact Score ≥ 7

- Automated portfolio revaluation across all 4 asset classes.
- Automatic trigger at impact ≥ 7 ; latency not benchmarked

SCORE 1–3 Low Risk	SCORE 4–6 Moderate Risk	SCORE 7–10 Auto-Stress
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Empirical Results & Portfolio Drawdown Analysis

Stress Test Result: Geopolitical Crisis



INITIAL PORTFOLIO NAV

\$585.0M

- Multi-asset benchmark baseline
- 15 assets: Bonds, Loans, Equities, Derivatives

GEOPOLITICAL LOSS -\$55.44M

-\$55.44M

- -9.48% peak-to-trough capital loss
- Trough portfolio valuation: \$529.56M
- Worst asset: US Treasury 10Y (-\$16.36M)

1-DAY VaR

\$50.9M

- 95% confidence
- \$72.0M at 99% confidence

STRESSED PORTFOLIO VALUE

\$529.6M

- After the Geopolitical Crisis shock
- Delta-normal factor model, 7 scenarios

Domain Impact & Institutional Personas

Potential use cases for credit surveillance, asset management and risk committees

CREDIT RATING AGENCIES
CRISIL & S&P Global Surveillance Desks

Faster Risk Signal Screening
Scores news and social signals automatically with FinBERT and a Keyword taxonomy, so analysts see high-impact events sooner.

Early Warning Signals
Flags negative credit and geopolitical events early as inputs to analyst review

Traceable Scoring
Each signal keeps its source, category, sentiment and impact score in a PostgreSQL audit trail.

PROTOTYPE RESULT
7 scenarios

- 15 assets, \$585M synthetic portfolio
- [Keyword rules are inspectable](#)

INSTITUTIONAL ASSET MANAGERS
Portfolio Managers & Buy-Side Desks

Multi-Asset Stress View
Shows loss, VaR and worst-hit asset across bonds, loans, equities and derivatives.

Automatic Stress Trigger
Impact score 7 or higher runs the matching stress scenario automatically. No trades or hedging orders are generated.

Interactive Scenario Shocker
Enables custom macro shock simulations (rate hikes, geopolitical escalation, liquidity freezes) with instant waterfall redraws with instant chart updates.

EXAMPLE RESULT
-\$55.44M

- Geopolitical Crisis: -9.48% of portfolio
- 1-day VaR \$50.9M (95%), \$72.0M (99%)

TREASURY & RISK COMMITTEES
CFOs, CROs & Enterprise Compliance

Board-Ready Executive Dashboards
Replaces complex dense spreadsheets with clean, intuitive waterfall drawdowns and asset delta visuals to support risk reviews.

Standardized Scenario Framework
Seven fixed stress scenarios with adjustable shocks. A prototype, not a regulatory compliance system

Supply Chain & ESG Early Warnings
NLP taxonomy tracks supplier bankruptcies, ESG fines, and regulatory investigations to flag them early.

GOVERNANCE & AUDITABILITY
PostgreSQL

- Reproducible math; every run saved.
- FinBERT is a neural model, with keyword rules for event type.

Assumptions, Limitations & Strategic Improvements

Transparent Engineering Decisions (A1–A8) & High-Impact Strategic Capability Enhancement Points

DOCUMENTED ASSUMPTIONS & RATIONALE (A1–A9)

Explicit assumptions and prototype limitations

A1: Auto-Trigger on Impact Score ≥ 7

Impact ≥ 7 automatically runs the matching stress scenario without requiring manual human intervention during market contagion.

A2 & A3: Standardized NLP & Scoring Bounds

Impact Score 1–10 (integer); FinBERT Sentiment [-1.0, +1.0] computed via $P(\text{pos}) - P(\text{neg})$. Negative polarity denotes market risk.

A4 & A5: Notional Valuation & Predefined Shock Regimes

\$585M synthetic notional portfolio; seven hand-calibrated scenarios with configurable shock overrides. (Geopolitical, Credit Crunch, etc.) eliminate tick-level noise while preserving macro risk attribution.

A6: Bond duration, spread and approximate convexity

Bond return = $-D \cdot \Delta r - D \cdot \Delta \text{spread} + 0.5 \cdot C \cdot \Delta r^2$, where $C \approx D^2/2$. An approximation, not full instrument repricing

A8 & A9: Source credibility and input limit

GDELT/news weight 1.0; synthetic sample tweets weight 0.7. FinBERT input is limited to 512 characters before tokenization; CPU is the default.

Domain Transparency Rationale:

Assumptions are documented. Scenario shocks have API overrides; scoring weights and some factor coefficients are fixed in code

FUTURE WORK (NOT IMPLEMENTED)

High-Impact Enhancement Vectors for Enterprise Production Scale

01 Stochastic Monte Carlo & Yield Curve Convexity

- Incorporate second-order bond convexity (d^2P/dy^2) and yield curve bootstrapping
- GPU-accelerated PyTorch tensor kernels for non-linear derivative option surfaces

02 Streaming Market Feeds & FIX Protocol Integration

- Hook live FIX protocol / WebSocket feeds (Bloomberg B-PIPE, Refinitiv Elektron)
- Streaming mark-to-market portfolio pricing replacing static notional baselines
- Automated intraday corporate action, dividend, and coupon payment reconciliation

03 Knowledge Graph & Supply Chain Contagion Network

- Neo4j / Wikidata property graph mapping 200k+ global parent-subsidary trees
- Second-order supply chain and geopolitical contagion network pathfinding
- Multi-hop credit risk propagation across complex structured debt SPVs

04 High-Throughput Distributed Event Streaming Mesh

- Replace REST WebClient with distributed Apache Kafka / Redpanda event mesh
- Active-active multi-region replication with zero-downtime failover and SOC 2

Working prototype · Module B · S&P Global & CRISIL Hackathon 2026